entrepreneur brings in all other factors of production and puts them in to use, to produce what best can be produced using these. The entrepreneur may be either governmental or private.

## A Study Under Controlled Atmosphere

In the technical specifications of a car the mileage of the car is mentioned as, say for example, 22 Kilometres per Litre (KMPL). It means the car runs for 22 kilometres per litre of fuel. But when it is bought and used it may not run 22 km per litre. Have you ever thought why this difference arises? The difference is due to the fact that the 22 KMPL is mentioned after a thorough check under certain laboratory conditions like well-laid road, perfect air pressure in tyre, traffic free atmosphere etc. but in actuality, all the roads are not well laid, the city traffic may be heavy and the air pressure may not be maintained properly all the time. These factors reduce the mileage of the car.

Likewise, certain varieties of seeds yield a high amount of produce in laboratory or in field trial but when it comes to mass scale production by farmers, the yield may not be the same. The reason is difference in atmospheric and other varying conditions of laboratory and field.

The same logic is applicable for Economics. The laboratory conditions are laid in the form of assumptions when it comes to the study of Economics. The economic theories and models are created under specific conditions and assumptions. For example, the demand theory considers that demand for goods and services are based on the level of price for specific goods and services under consideration. It says, if the price is high, the demand for the product is low and vice versa. It is said so because, the theory of demand assumes that other factors that have an impact on demand remain unchanged. But in actuality it is not the case. There are many other factors other than the price that have influence on the demand. The reason for making these assumptions are that the factors considered in theory play a major role